CASH TO COMPANY

Item Bank

"Ownership structure, money, and compliance"

Per-unit quiz / test items · 4 units · ETS-quality alignment to Jump$tart, CEE, CCSS, C3, CASEL, NGSS-

Grade 10 — Cash to Company Item Bank

Year theme: *Ownership structure, money, and compliance.* This bank covers all four Grade 10 units (What kind of thing is this? · Money in, money out, on whose terms · Who owns what, and how do we decide? · Premortem and the month-in-review). Items use ownership-structure, funding-source, and compliance scenario style. Distractors target the Grade 10 Common Misconceptions table. No family-money probes; "for a hypothetical" framing throughout. Cash's Grade 10 voice: "*You'll meet adults who skipped this and got lucky. Don't model on luck. Model on the moves.*"

Unit 1: What kind of thing is this?

MC1. "For a hypothetical venture, the difference between a hobby and a small business is..."

A. A hobby is at home; a business is at school · B. The IRS considers it a business if you make profit in 3 of 5 years AND you operate it like a business (records, separate accounts, intent to profit) · C. A business has a logo · D. A hobby is small; a business is big

Answer: B · **Standard:** *Jump$tart Standard 5 (Risk Management and Insurance), Benchmark 12-1 — Identify risks in life and how to manage them.* · **Strand outcome (BAVC, 10):** *I can explain the difference between a hobby, a side hustle, a small business, and a startup, using 4 real-world examples with evidence.* · **Misconception targeted:** "*Hobby and business are the same to the IRS*" — corrects directly.

MC2. "A startup differs from a small business primarily in..."

A. Size · B. Intent and structure: a startup pursues a scalable, repeatable business model often with outside capital, vs. a small business optimizing for stable local income · C. Profit · D. Location

Answer: B · **Standard:** *CCSS-ELA W.9-10.1 — Write arguments to support claims with valid reasoning.* · **Strand outcome (BAVC, 10):** *I can explain the difference between a hobby, a side hustle, a small business, and a startup, using 4 real-world examples with evidence.* · **Misconception targeted:** "*Startup = any new business*" — corrects.

MC3. "Premortem' means..."

A. Pessimism · B. Imagine the venture failed in 1 year; list every reason; rank top 3 risks · C. A retrospective · D. A premature exit

Answer: B · **Standard:** *C3 D2.Eco.10.9-12 — Use current data to explain the influence of changes in spending, production, and the money supply.* · **Strand outcome (PSIG, 10):** *I can take an idea and stress-test it with a "premortem" (assume it failed in 1 year*

— list every reason) and rank the top 3 risks. · **Misconception targeted:** "*A premortem is pessimistic*" — corrects.

SA1. "Categorize 4 real ventures (provided): a teen who walks dogs on weekends; a knitter who sells items at craft fairs; an Etsy seller doing $40k/year of bookkeeping; a 19-year-old building an AI study app. For each, label hobby/side hustle/small business/startup AND give one piece of evidence."

Model answer: "*Dog-walker: SIDE HUSTLE — earns $200/month, no separate accounts, no growth intent. Knitter: HOBBY — sells at fairs but doesn't profit consistently in 3 of 5 years; tax treatment = hobby income. Etsy bookkeeper: SMALL BUSINESS — $40k revenue, separate business account, recurring local customers, optimized for stable income. AI study app: STARTUP — pursues a scalable model, raised $50k from F&F, intent to grow 10x.*"

Scoring guide (3-2-1): - **3:** All 4 categorized correctly with specific evidence. - **2:** 3 of 4 correct. - **1:** 2 or fewer correct.

SA2. "For your Capstone venture, write a 1-paragraph case for what kind of thing it is. Use the criteria from the categorization framework."

Model answer: "*My Capstone — a custom 3D-printed phone-stand business — is a SMALL BUSINESS, not a startup. Evidence: I aim for $200-400/month stable income, target a local school market (not scalable to national), use my own savings (no outside capital), and operate from a sole proprietorship (no entity yet). It could become a small business with LLC formation if I cross $5k revenue, but it does not seek venture-scale growth. The honest call is to optimize ops + brand within the school market — not pursue 'startup' framing that would mismatch my actual intent.*"

Scoring guide (3-2-1): - **3:** Categorization + 3 specific pieces of evidence + an honest match-to-intent statement. - **2:** Categorization + 2 evidence pieces. - **1:** Categorization without evidence.

Performance Task: Categorization Pack (90 min).

Child categorizes 4 real ventures with evidence AND writes a 1-paragraph case for what their Capstone venture is. **Rubric:** Reflection Writing Rubric (Grade 10): (1) 4 ventures correctly categorized, (2) 1 piece of evidence per categorization, (3) Capstone case names match-to-intent honestly. **Strand outcome:** BAVC.

Extension (advanced learner):

"*For one of the 4 sample ventures, sketch the structural and tax consequences of misidentifying it (e.g., calling the knitter a 'startup' when filing taxes).*" Anchors compliance thinking.

Unit 2: Money in, money out, on whose terms

MC1. "Comparing 3 funding sources for a sample venture: bootstrapping, small loan ($2k @ 8% APR), friends-and-family ($2k no interest but 'help when I ask'). The criteria are interest, control, and risk. Which preserves the most CONTROL?"

A. Loan — the bank is hands-off · B. Bootstrap — no outside parties · C. Friends-and-family — they're family · D. All equal

Answer: B · **Standard:** *Jump$tart Standard 2 (Credit and Debt), Benchmark 12-3 — Compare sources of consumer credit (extended to small-business funding sources).* · **Strand outcome (MFL, 10):** *I can compare three ownership/funding sources (bootstrap savings, small loan, friends-and-family) using interest, control, and risk as criteria — and recommend one for a sample business.* · **Misconception targeted:** "*Bootstrapping is always better*" — corrects (it preserves control but limits speed).

MC2. "In the same comparison, the SMALL LOAN at 8% APR for $2k over 1 year requires repayment of approximately..."

A. $2,000 · B. $2,160 · C. $2,800 · D. $2,080 in interest

Answer: B · **Standard:** *CEE Standard 4 (Using Credit), Grade 12 — Borrowing money usually involves repaying both the principal and the interest.* · **Strand outcome (MFL, 10):** *I can compare three ownership/funding sources.* · **Misconception targeted:** "*Loan = principal only*" — $2k × 1.08 ≈ $2,160 simple interest.

MC3. "For a hypothetical sample venture with 12-month timeline and a competitor moving fast, the FUNDING recommendation depends on..."

A. Always pick bootstrap · B. Cost of going slower vs. cost of debt — both are real · C. Always pick a loan · D. Friends-and-family always wins

Answer: B · **Standard:** *Jump$tart Standard 2.* · **Strand outcome (MFL, 10):** *I can compare three ownership/funding sources.* · **Misconception targeted:** "*Bootstrapping is always better*" — corrects.

SA1. "For a hypothetical sample venture needing $2,000 in 6 months, build a comparison table for the 3 funding sources across interest, control, risk. Recommend one with reasoning."

Model answer: "*BOOTSTRAP: Interest 0; Control 100%; Risk = personal capital tied up; speed slowest. SMALL LOAN: Interest ~$160 over 1 yr at 8%; Control 100% (creditor doesn't vote); Risk = repayment regardless of revenue, personal-credit damage if missed. F&F: Interest 0 cash; Control 100% on paper but emotional control eroded; Risk = relationship damage on miss. Recommend SMALL LOAN if and only if monthly revenue projection covers principal+interest at break-even units; else BOOTSTRAP and slow the timeline.*"

Scoring guide (3-2-1): - **3:** All 3 sources × 3 criteria filled with specifics; recommendation grounded in math. - **2:** Comparison filled, recommendation soft. - **1:** Missing rows.

SA2. "In a hypothetical scenario where the venture's contribution margin would just barely cover loan repayment, what is the second-order risk you should stress-test?"

Model answer: "*Demand variability — if revenue dips 20% in any month, debt service eats into operating cash and the venture either misses payments (credit damage) or starves marketing/inventory (compounding the dip). Stress-test: model 3-month cash flow under a 20% revenue drop. If runway crosses zero, the loan is too risky at the current break-even; either reduce loan, raise margin, or extend timeline.*"

Scoring guide (3-2-1): - **3:** Names a specific second-order risk + a quantitative stress-test method. - **2:** Names risk, method vague. - **1:** Generic ("things might go wrong").

Performance Task: Funding Comparison Pack + Recommendation Memo (90 min).

Child builds a 3-source × 3-criteria comparison for a sample venture and writes a 1-page recommendation memo. **Rubric:** Budget Project Rubric (Grade 10): (1) all 9 cells filled, (2) interest math correct, (3) recommendation cites quantitative threshold. **Strand outcome:** MFL.

Extension (advanced learner):

"*For a sample venture with no consistent revenue history, would a bank approve the $2k loan? If not, what do you do?*" Anchors credit-history reality.

Unit 3: Who owns what, and how do we decide?

MC1. "An LLC differs from a sole proprietorship primarily in..."

A. Cost · B. Personal-liability protection for business debts (when treated as a real entity with separate accounts and records) · C. Tax rate · D. Naming convention

Answer: B · **Standard:** *Jump$tart Standard 5 (Risk Management and Insurance), Benchmark 12-1 — Identify risks in life and how to manage them.* · **Strand outcome (ESL, 10):** *I can identify the right business structure (sole prop, LLC) for a sample venture using cost, liability, and complexity, and explain why.* · **Misconception targeted:** "*An LLC means I can't be sued*" — corrects (limits liability when operated correctly).

MC2. "For a hypothetical 2-person teen partnership, an OPERATING AGREEMENT should cover..."

A. The logo · B. Roles, decision rules, money handling, exit · C. The marketing plan · D. The product spec

Answer: B · **Standard:** *CCSS-ELA W.9-10.1.* · **Strand outcome (OSO, 10):** *I can complete a basic operating agreement template (roles, decisions, money handling, exit) for a 2-person teen partnership and explain each clause.* · **Misconception targeted:** "*An operating agreement is for big companies*" — corrects.

MC3. "In a 1-page brand guide, the elements to commit to are..."

A. Logo, slogan, mascot, song · B. Name, tagline, two-color palette, one font, one voice rule · C. Price, target market, channels · D. Customer persona, value proposition

Answer: B · **Standard:** *CCSS-ELA W.9-10.1.* · **Strand outcome (CBM, 10):** *I can build a 1-page brand guide (name, tagline, two-color palette, one font, one voice rule) for my venture and explain each choice.* · **Misconception targeted:** "*Brand = logo*" — corrects.

SA1. "For a 2-person teen partnership selling 3D-printed phone stands, complete the 4 main clauses of a basic operating agreement: roles, decisions, money handling, exit. 1-2 sentences per clause."

Model answer: "*ROLES: Partner A leads design + production; Partner B leads sales + customer service. Each has primary authority in their domain. DECISIONS: Spend over $100 OR price changes require both partners' written agreement; below $100, the domain owner decides. MONEY HANDLING: One shared business bank account; both have view access; either can deposit; withdrawals over $50 require co-signature. Profits split 50/50 monthly after a $200 reserve. EXIT: Either partner can exit with 30 days' written notice; remaining partner has first right to buy out at book value.*"

Scoring guide (3-2-1): - **3:** All 4 clauses specific AND mutually consistent. - **2:** 4 clauses but 1 vague. - **1:** 3 or fewer clauses or contradictions.

SA2. "For your sample 3D-printed phone-stand venture, recommend Sole Prop or LLC. Defend in 3-4 sentences using cost, liability, and complexity."

Model answer: "*Recommend SOLE PROP for first 6 months; LLC at $5k+ revenue. Cost: SP has no state filing fee in most states; LLC is ~$50-300 state filing + ~$50/yr. Liability: SP exposes personal assets; at low revenue and low product-injury risk (a phone stand isn't food/safety), the exposure is small. Complexity: SP requires no separate filings; LLC needs operating agreement, separate bank account, EIN. As revenue grows or the product enters higher-liability categories, the LLC becomes worth the complexity.*"

Scoring guide (3-2-1): - **3:** Recommendation + 3 criteria with specifics + a threshold trigger. - **2:** Recommendation + 3 criteria. - **1:** Recommendation only.

Performance Task: Operating Agreement Pack + Brand Guide (90 min over 2 sessions).

Child completes a 2-person operating agreement template, writes a sole-prop-vs-LLC analysis with recommendation, and produces a 1-page brand guide. **Rubric:** Business Plan Rubric (Grade 10): (1) operating agreement covers all 4 clauses, (2) structure

analysis names cost+liability+complexity, (3) brand guide has all 5 elements with rationale per element. **Strand outcome:** OSO + ESL + CBM.

Extension (advanced learner):

"*Your operating agreement says exit at 'book value.' A partner argues for 'fair market value.' What's the difference, and which is fairer for the EXITING partner?*" Targets contract-language nuance.

Unit 4: Premortem and the month-in-review

MC1. "In a premortem, you imagine the venture FAILED in 1 year. Which is the strongest top-3 risk?"

A. We didn't try hard enough · B. CAC stayed above CM for 4+ months because the only working channel hit ceiling · C. Bad luck · D. The team didn't get along

Answer: B · **Standard:** *CASEL Responsible Decision-Making.* · **Strand outcome (PSIG, 10):** *I can take an idea and stress-test it with a "premortem" and rank the top 3 risks.* · **Misconception targeted:** "*A premortem is pessimistic*" — corrects with a specific, actionable risk.

MC2. "A month-in-review uses 5 metrics: revenue, customers, cost, time spent, satisfaction. The question 'what changed and why' should be applied to..."

A. Only revenue · B. All 5 metrics, with the biggest mover analyzed first · C. Only the worst metric · D. None — just report the numbers

Answer: B · **Standard:** *NGSS-ETS HS-ETS1-3 — Evaluate a solution to a complex real-world problem.* · **Strand outcome (LRCI, 10):** *I can run a "month in review" using 5 metrics (revenue, customers, cost, time spent, satisfaction) and propose two changes for next month.* · **Misconception targeted:** "*Reviews focus on bad news*" — corrects.

MC3. "A 3-minute vision pitch for your venture should include..."

A. The logo and a song · B. Customer + problem + your unique solution + evidence + ask · C. Just the product · D. Just the math

Answer: B · **Standard:** *CCSS-ELA W.9-10.1.* · **Strand outcome (LTO, 10):** *I can draft a 1-page vision statement for my venture, defend it in a 3-minute pitch, and capture pushback into a revision list.* · **Misconception targeted:** "*Vision = inspirational language*" — corrects.

SA1. "Run a premortem on your Capstone venture. Imagine it failed in 1 year. List 5 reasons. Rank the top 3 by likelihood × impact."

Model answer: "*5 reasons: (1) CAC > CM for 4 months; (2) supplier cost spike eroded margin; (3) school admin shut down on-campus sales; (4) team conflict over revenue split; (5) better-funded competitor undercut price. Top 3: (3) admin shutdown — high*

likelihood (school year only) × high impact (loss of channel); (1) CAC>CM — medium likelihood × high impact (margin death); (2) supplier spike — medium likelihood × medium impact. Mitigations: (3) cultivate off-campus channel before need; (1) lock paid channels with CAC tracking; (2) negotiate fixed pricing with primary supplier."

Scoring guide (3-2-1): - **3:** 5 risks, top-3 ranked by likelihood × impact, mitigations named. - **2:** 5 risks, top-3 ranked, no mitigations. - **1:** Fewer than 5.

SA2. "Write a month-in-review covering all 5 metrics with one specific number per metric, and propose 2 specific changes for next month."

Model answer: "*Revenue: $480 (+15% MoM). Customers: 32 (-3%). Cost: $215 (+22% — supplier spike). Time spent: 24 hr (-10%). Satisfaction (NPS proxy): 7.8/10 from 12 ratings (+0.4). Biggest mover: cost. Changes: (1) Test alt-supplier with same spec for 2 batches — target 12% cost cut. (2) Test re-engagement DM on 8 lapsed customers — target +5 customers next month.*"

Scoring guide (3-2-1): - **3:** All 5 metrics with numbers, biggest-mover identified, 2 specific changes with target outcomes. - **2:** Metrics + changes, target outcomes vague. - **1:** Metrics only or changes only.

Performance Task: Compliance + Vision Pack (90 min + 3-min pitch).

Child runs a premortem with top-3 ranked risks, completes a month-in-review on 5 metrics, delivers a 3-minute vision pitch, AND captures pushback into a revision list. **Rubric:** Pitch Presentation Rubric (Grade 10): (1) premortem ranked, (2) review covers 5 metrics, (3) pitch covers customer+problem+solution+evidence+ask in <3 min, (4) revision list has ≥2 captured changes. **Strand outcome:** PSIG + LRCI + LTO.

Extension (advanced learner):

"*Of your 5 metrics, which is most leading vs. lagging? Why does the distinction matter for next month's decisions?*" Anchors metric-design discipline.

Total this grade: 12 MC + 8 SA + 4 Performance Tasks + 4 Extensions = 28 items.